

HEDGEYE DAILY DIGEST

August 8, 2026 · Macro Research Summary

Weekend edition. Hedgeye does not publish Saturday or Sunday, so this digest covers the two most recent publishing days: **Friday, August 7th** as "Today" and **Thursday, August 6th** as "Yesterday." The macro story is a **#Quad3** regime confirmed by a textbook **gold breakout**. A softer U.S. jobs report drove the **10-year yield to ~4.59%** (bottom of its Risk Range), reinforcing a **short-dollar / long-gold** posture as Keith McCullough covered all remaining precious-metals shorts. The mirror image — a still-crashing **KOSPI (-31% from peak)** and short semis/DRAM — remains the core downside signal, even as the broad U.S. tape keeps making higher highs and Hedgeye leans long a broadening set of sectors (Gold, Healthcare, Energy, Software, REITs) over the crowded Mag7.

Today's Publications — Friday, August 7th

EARLY LOOK: #Quad3 Longs — Gold, Healthcare, etc.

Early Look · Keith McCullough · 08/07/26 07:47 AM EDT

Keith frames the day around a single idea borrowed from actor Jeremy Renner: **process over emotion** — "commit to the Signal, adapt as the Quad shifts, and keep taking the next actionable step." The substantive call is that **Gold has completed a textbook Hedgeye Phase Transition**: its Risk Range signaled **higher-highs for 8 straight trading days**, then broke out through immediate-term **TRADE** and is now breaking out on **TREND**. Gold is described as the **#1-ranked major asset allocation in #Quad3**.

The broader monthly Quad path is **3-1-2** (August #Quad3 → September #Quad1 → October #Quad2), read as supportive of continued market broadening. Keith's preferred **#Quad3 longs** that are both signaling buy and back-testing well are **Gold, Healthcare (XLV), Software (not Semis), REITs (XLRE), and Energy (XLE)**. He is explicit that long Tech/Software is not the same as long Semiconductors — Hedgeye went long-to-short on **DRAM** "right on Signal Time." From the desk he flags a same-sector long/short pair: **long Atlassian (TEAM), short The Trade Desk (TTD)**.

Investment implication: Diversify across asset classes, size asymmetrically, rotate on Signal. Rebuild long Gold; own Healthcare/Software/REITs/Energy; stay short Semis/DRAM and South Korea (EWY).

Risk Range™ Signals — August 7th

Asset	Risk Range	TREND
10-Yr U.S. Treasury Yield (UST10Y)	4.59 – 4.74	Bullish
High Yield (HYG)	78.95 – 79.70	Bullish
Investment Grade Corp (LQD)	105.4 – 107.1	Bearish
S&P 500 (SPX)	7375 – 7826	Bullish
NASDAQ Composite (COMPQ)	24441 – 26701	Bullish
Russell 2000 (RUT)	2901 – 3058	Bullish
Technology (XLK)	174 – 190	Bullish
Health Care (XLV)	160 – 168	Bullish
Real Estate (XLRE)	44.40 – 46.20	Bullish
Volatility Index (VIX)	14.74 – 17.88	Bearish
U.S. Dollar Index (USD)	99.01 – 100.71	Bearish

Asset	Risk Range	TREND
WTI Crude Oil (WTIC)	72.63 – 82.60	Bearish
Natural Gas (NATGAS)	2.55 – 2.79	Bearish
Gold Spot (GOLD)	4103 – 4331	Bullish
Copper Spot (COPPER)	6.40 – 6.85	Bullish
Silver Spot (SILVER)	57 – 66	Neutral

THE MACRO SHOW: Summary Notes — Friday

The Macro Show · 08/07/26 10:22 AM EDT

The clearest theme was the **gold breakout confirming a major positioning shift: all precious-metals shorts have been covered**, and gold is now a bullish allocation driven by **Quad 3 + falling yields + weaker dollar**. The softer jobs report pushed the **10-year to ~4.59%**, the bottom of its range, reinforcing the **short-dollar** signal.

Core shorts remain **South Korea (EWY)** — the **KOSPI is ~31% below its bubble peak** and in "crash mode" as Korea enters Quad 4 while the Bank of Korea hikes — plus **DRAM / memory semis**. Keith stressed that **short semis is not short S&P 500**; the book is simultaneously **short semis and long software**. **Nvidia** was treated separately (bullish TRADE/TREND — "buy Nvidia and short semis"), though not held.

On the broadening thesis, the **VIX stayed in the "Investable Bucket,"** the **SPX logged a 4th straight higher high**, and the portfolio stays **long RSP (equal-weight)** with the **Quad count at 3-1-2**. **Russell 2000** is the "next man up" but not yet bought. **Energy (XLE)** and **Healthcare (XLV)** exposure were increased and offset prior-day losses; **dividend/quality (HDV)** was added.

New disclosures: Keith **got long a steepener and bought IVOL** ahead of next week's CPI (nowcast shows some deceleration before an expected later-quarter reacceleration). **Bitcoin is no longer short** (neutral: TRADE ~64k, TREND ~68k); **Copper bullish**. Signal Strength calls: **bullish MSFT, AAPL, LLY**; **bearish GOOGL, APP, WDC**. **China** is overbought — a potential new short. Still **short Qatar**; no European positions; added to **Philippines (EPHE)**, long **Colombia (COLO)**.

MOMO TRACKER: Mag7 (+0.2%), 8 of 9 RRs Downside > Upside

Momentum Stock Tracker · 08/07/26 07:47 AM EDT

The Mag7 basket was roughly flat (**+0.2%**), but momentum internals stayed cautious: **8 of 9 Risk Ranges showed more downside than upside**, and the **KOSPI crash deepened to -31.3%** from its peak — the persistent Asia momentum drag Hedgeye flags as a warning for high-beta U.S. tech. (Published as a data dashboard; signals summarized from the header.)

MACRO WEEK SUMMARY NOTES — August 7th

From The Desk · 08/07/26 05:46 PM EDT

Hedgeye's flagship **weekly wrap** landed Friday evening, packaging the **Macro Dashboard, Weekly Macro Commentary, VIX Gauge, U.S. Monthly Quad Forecast, and Chart of the Week**. It consolidates the week's central messages — the **Quad 3 gold/dollar rotation**, the **KOSPI/semis short**, and the **3-1-2 monthly Quad path** — into a single reference note (full content on a separate Hedgeye microsite).

CAPITAL ALLOCATION PRO: Daily Dashboard

Capital Allocation Pro · 08/07/26 09:19 AM EDT

No new Model Portfolio changes posted Friday. The team pointed to the **August Monthly Commentary** (published Aug 5) and a fresh **Key Callouts video** (recorded Aug 6). **Trend and Tail levels for the 68 ETFs** were last refreshed off **July 31st** closing prices, on the standard 3–4 week cycle.

ALSO PUBLISHED FRIDAY

Other research · 08/07/26

ETF Pro Plus issued **6 new ETF changes**; **Crypto Quant** noted **Bitcoin -0.4%**, expanding **24/5 trading**, the **CLARITY Act delayed to September**, and Tether Gold higher. The daily **Macro Show** episode featured KM with analyst Matt Cooper.

Yesterday's Publications — Thursday, August 6th

EARLY LOOK: The Paradise Paradox

Early Look · Josh Steiner, CFA · 08/06/26 07:58 AM EDT

What: A conceptual Early Look using John Calhoun's 1968 "Universe 25" mouse experiment — abundance without purpose creating a "behavioral sink" — as a metaphor for investors who consume endless data without a repeatable process.

Why: The antidote is process with two independent legs: **the Quads** (the probabilistic growth/inflation cycle) and **the Signal** (what price/volume/volatility say now). Oil was the case study — largest one-week shock in ~40 years in March, then a flip from **Bullish to Bearish TREND** by summer as WTI retraced from **\$90 into the \$60s**. A Signal is a duration, not a permanent forecast.

Key numbers: **Q3 tracking shallow Quad 4** — growth **-17bps to 1.93%**, inflation **-31bps to 3.55%**. Monthly path **Aug→Oct = Quad 3, 1, 2**; **August CPI nowcast 3.60%**. **Q4 forecast Quad 2** (growth **+25bps to 2.18%**, inflation **+20bps to 3.75%**; monthly 2-1-2). **Q1 2027 back to Quad 4**, with February (63%) and May (78%) flagged as difficult months.

Who: Josh Steiner (MD); references Peter Diamandis' *We Are As Gods*. **Takeaway:** Position probabilistically around a shifting distribution of monthly Quads — not around a single point forecast or permanent narrative.

KM's TOP 3 THINGS (KOSPI / Momentum / Sectors)

From The Desk · Keith McCullough · 08/06/26 07:19 AM EDT

What: Keith's three top calls into the August Quad shift.

Why / Key numbers: **(1) KOSPI** — failed at TRADE momentum resistance, **down another -4.6% overnight, -22% in a month, -31% from its #MOAB peak**; NASDAQ vol (VIX) too complacent (QQQ implied vol at a **-19% discount** to 30-day realized). **(2) Momentum** — High-Beta Momentum **-2.4%** the prior day, **1-month momentum -14.2%**; net **long Software / short Semis**, with **Gold** the leader on the Factor Dashboard. **(3) Sectors** — exiting **Utilities (XLU)** in July was critical (**XLU -1.0%** vs. **XLV +1.3%**); bought more **XLE** into the close despite oil back to Bearish TREND. Also long VYM, XLRE, IAK, FAB, DESK, NOBL, IPAY, RSP.

Who: Keith McCullough. **SPX Risk Range 7354-7795; UST10Y 4.57-4.74%**. **Takeaway:** The August Quad shift rewards being on your front foot — lean into Quads, sector styles, and factor exposures; "don't be the crowd."

THE MACRO SHOW: Summary Notes — Thursday

The Macro Show · 08/06/26 10:37 AM EDT

What / Why: South Korea and high-beta momentum remained the central downside signals — **KOSPI failed momentum resistance, -4.6%, -22% MTD, -31% from peak**; short **EWY** and **SoftBank**. SanDisk, Marvell, and Applied Materials were cited as **former longs already exited** before the drawdowns. The firm **rotated out of Utilities into Healthcare**, stays **long equal-weight (RSP)** rather than cap-weight SPX, and framed the new **3-1-2 Quad sequence as bullish** (with ~5% SPX downside still in the range).

Key numbers / names: **BJ's Restaurants (BJRI)** highlighted as a Signal Strength long **+~60% since its May add**. NASDAQ vol ~24 (range 22–31) at a **-19% discount** to realized — a complacency flag. **Gold increased**; **Energy (XLE) newly added** (Exxon a primary driver); **Copper** mistakenly exited. Shorts include **Qatar (largest short)**, **Israel**, **U.S. dollar**, **Treasuries**, **HubSpot**, **AppLovin**. **Netflix** may flip from short to long on a bullish TRADE signal. Book: **63 Signal Strength longs / 52 shorts = 115 positions**. **Takeaway:** Hold winners while signals hold, cut fast losers with stops; construction and sizing beat predicting every earnings print.

SIGNAL STRENGTH STOCKS: 65 Stocks (7 Added, 5 Removed)

Signal Strength Stocks · 08/06/26 12:54 PM EDT

What: Weekly quantamental stock signal update. **Added: FSLY, PVH, REAL, BBWI, HD, W, TEAM**. The list grew to **65 names** (rotating again to **67** by Friday). **Takeaway:** Rotation into select retail/consumer and software names (HD, W, PVH, BBWI, TEAM) is consistent with the broadening, long-software theme.

CAPITAL ALLOCATION & OTHER

Capital Allocation / Digital Assets · 08/06/26

The Capital Allocation team posted a **Model Portfolio Update video** and a **Key Callouts video (Aug 6)**. **ETF Pro Plus** issued **5 ETF changes**. **Crypto Quant** noted **Bitcoin -0.4%** with **ETF inflows of +\$720M week-to-date**, and Digital Assets published its **Miner Weekly Performance Monitor**.